

THE SESSION • POST-CLOSE READ

The Capex Verdict

Microsoft's Azure acceleration and a record June quarter at Lam Research reset the return-on-capex debate. The Growth Portfolio added 3.51% against IUSG's 3.05%; the Dividend Strategy held within a quarter point as defensives funded the rotation.

S&P 500 ▲ 1.66%

NASDAQ ▲ 2.75%

DOW ▲ 1.19%

VIX 17.34

BRENT ▼ \$90

DIVIDEND STRATEGY

▲ BEAT DVY

-0.25% 1-DAY



YTD +19.86% vs DVY +16.52% · SPY +9.33%

GROWTH PORTFOLIO

▲ BEAT IUSG

+3.51% 1-DAY



YTD +14.23% vs IUSG +8.83%

THE SESSION

Microsoft's fiscal fourth quarter did what six weeks of argument could not — it put a number on whether the AI buildout is producing revenue. Azure grew 43% at constant currency against a guided 39–40%, crossed \$100 billion in annual revenue for the first time, and arrived with capital-spending plans management described as unchanged. Accelerating demand paired with disciplined spend was the combination the tape had been asking for since the Nasdaq began its multi-week reset. Semiconductors carried the response: the S&P 500 closed +1.66% at 7,437.53, the Nasdaq +2.75% at 25,114.99, the Dow +1.19%, and the VIX gave back to 17.34.

The rotation ran cleanly in two directions, and our sleeves sat on opposite ends of it. The **Growth Portfolio** added 3.51% against IUSG's 3.05%, carried by the merchant-silicon and AI-power names that had absorbed the heaviest of the reset — AMD +13.00%, CRDO +13.32%, MRVL +12.18%, TSM +7.64%, KEYS +5.38%, VST +4.07%. Samsung's record memory quarter, with a supply warning extending into 2028, added a second leg to the semiconductor bid. The **Dividend Strategy** finished -0.25% while DVY fell 1.09%, an 84-basis-point margin earned almost entirely by LRCX +17.98% and by the sleeve's willingness to hold cyclicals — ADI +3.76%, CAT +3.38%, CEG +2.17% — against a broad give-back in staples and payroll-and-parts defensives. Digital assets participated modestly: IBIT +1.94%, ETHA +1.97%, with bitcoin near \$64,800.

One quarter does not settle the capex debate. It does remind us why we hold the assets rather than the argument about them.

The macro drop under the rally was softer than the tape suggested. The advance estimate put second-quarter GDP growth at 1.5% annualized against expectations nearer 1.8%, with imports the principal drag and

domestic demand holding. June core PCE rose 0.1% on the month and 3.3% year over year, down from May's 3.4%; headline PCE dipped 0.1% on the month for 3.7% annually. That is disinflation at the margin, not

resolution — and it lands one day after a 9–3 hold in which three regional presidents dissented for a hike. Brent held near \$90 after Wednesday's move, with the Iran conflict and the Hormuz question still

unresolved. Apple and Amazon report after tonight's close. None of that changes what we own or why: the portfolio is built to be indifferent to which week the argument resolves.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

HUT +22.78%

GROWTH

The Financial Times reported, citing people familiar with the arrangement, that Nvidia is the tenant behind the Beacon Point leases — up to \$50.2 billion including renewals. Neither company has confirmed.

LRCX +17.98%

DIVIDEND

Record June-quarter revenue of \$6.72 billion and EPS of \$1.82; September-quarter guidance near \$8.1 billion in revenue and \$2.15 EPS sits well above consensus.

MARA +17.61%

GROWTH

The mining cohort recovered alongside bitcoin near \$64,800 and the broader AI-infrastructure bid. Results are due August 6.

DECLINERS

NOW -4.92%

GROWTH

Enterprise software funded the rotation into semiconductors; the shares are down roughly 40% over twelve months.

GPC -3.96%

DIVIDEND

Auto-aftermarket names gave back as defensive positioning unwound, with O'Reilly's quarterly call framing the sector read.

CRDO +13.32%

GROWTH

High-speed connectivity retraced with the merchant-silicon complex after Wednesday's reset.

AMD +13.00%

GROWTH

Susquehanna reiterated Buy and lifted its target to \$500 from \$450 on strengthening data-center prospects.

NWG +5.40%

DIVIDEND

Lloyds' half-year print — profit ahead of consensus, interim dividend up 30%, a fresh £1.0 billion buyback — set the read into NatWest's own results tomorrow.

HOOD -3.61%

GROWTH

Retail-brokerage exposure lagged the risk-on tape despite Wednesday's earnings beat.

ADP -3.48%

DIVIDEND

Gave back Wednesday's post-print gain as payroll processors and other defensives funded the day's rotation.

HOLDINGS NEWS

Lam Research (Dividend Strategy) posted a record June quarter and raised the bar for September. Revenue of \$6.72 billion was up 15% sequentially and 30% year over year, with non-GAAP EPS of \$1.82 against consensus near \$1.68–\$1.72. Gross margin reached 52% and operating margin 38.4%, both company records. Management guided the September quarter to roughly \$8.1 billion in revenue and \$2.15 in EPS — materially above the Street — and framed 2026 wafer-fabrication-equipment spending in the low \$150 billion range, with NAND revenue more than doubling sequentially on AI storage demand. The stock closed +17.98% at \$297.72, having finished Wednesday down 6.40% when the print landed into the chip-cohort reset. That two-day sequence is a useful reminder that the market's first read and its considered one are frequently different documents.

Hut 8 (Growth Portfolio) drew a reported anchor tenant for its Texas campus. The Financial Times reported this week, citing five people familiar with the deal, that Nvidia is the previously unnamed investment-grade tenant behind both fifteen-year leases at Hut 8's Beacon Point campus near Corpus Christi — \$19.6 billion in base-term contract value, rising to as much as \$50.2 billion if all renewal options are exercised. Hut 8 has not identified the counterparty and Nvidia has not confirmed the report. The campus holds a gigawatt of secured utility capacity and is being built to Nvidia's reference architecture, with energization targeted for the first quarter of 2027. Shares closed +22.78% at \$108.27. We would note the reported ceiling depends on renewals that have not been exercised; the contracted base is the smaller and already-disclosed figure.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+19.86%

vs DVY +16.52% / SPY +9.33%

GROWTH PORTFOLIO

+14.23%

vs IUSG +8.83%